

What is blockchain?

In Wikipedia, blockchain is defined as a continuously growing lists of blocks that are linked and secured using cryptography. Each of these blocks contains a hash pointer, a link to the previous block, transaction data and a timestamp. It is an open, distributed ledger that records transaction details between two parties efficiently in a verifiable and permanent way.

Blockchain is basically a persistent, transparent, public, append only ledger.

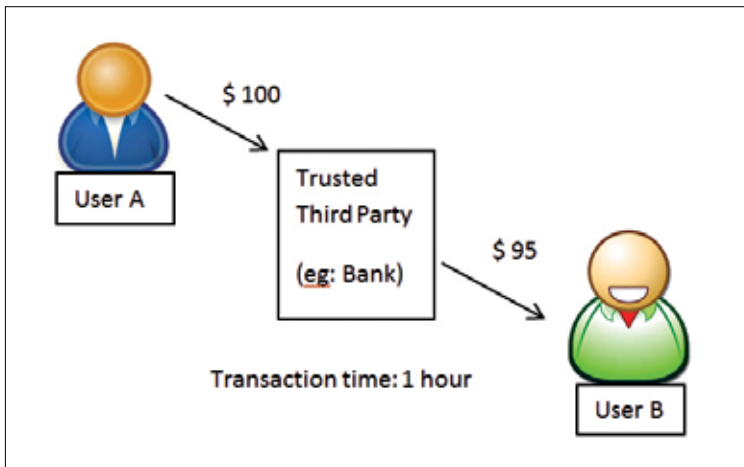
It is a system that you can add data to without changing any previous data within it. The data added previously, remains intact. It does this through a mechanism for creating consensus between scattered or distributed parties that do not need to trust each other, but trust the mechanism by which their consensus has arrived at.

Currently, if we need to make a transaction, most of us use a trusted middle party which is usually a bank.

Let's take an example where user A needs to transfer some amount to user B. User A uses a trusted third middle party to do the transfer successfully to user B. The trusted middle party will make the transfer successfully, but will however charge a fee, and the transaction time would be an hour or so.

Blockchain attempts to solve 3 things here:

1. To transfer money without the trusted middle party, thereby enabling people to connect directly with each other.



Traditional banking method